APPENDIX 3

Should Investors Sell Coffee Can Stocks When Markets Are Richly Valued?

We consider five scenarios to analyse whether buying and holding the Coffee Can Portfolio makes sense in India. The description and results for each scenario are given below.

Scenario 1: We sell when the Nifty's trailing P/E multiple goes above twenty times and invest in government bonds. We wait for a year before making the reinvestment decision and such a decision is taken only if the multiple has dropped below twenty times (at that juncture we reinvest in the fresh ongoing CCP as at that time). So, for example, when the Nifty exceeds twenty times the trailing earnings in October 2007, we SELL the entire portfolio. We then wait until October 2008 and BUY the CCP FY08 at that point.

As can be seen below, barring a couple of portfolios with minor outperformance, none of the CCP portfolios following the Scenario 1 strategy were able to beat their 'buy and hold' counterparts.